

Description

I recommend purchasing shares of PayPal. PYPL has been viewed by many investors as a value trap because of concerns around slowing growth, competitive pressure, margin pressure, and potential structural decline. However, the company continues to generate strong free cash flow and trades at a single-digit P/E multiple, which I believe reflects overly pessimistic expectations about PayPal's long-term relevance.

Given its low valuation, strong cash generation, established market position, and potential for margin improvement under new leadership, I believe PayPal offers an attractive risk/reward opportunity with limited downside.

Quick Background

PayPal was spun out of eBay in late 2015.

As of 2025, PayPal had over 439 million active accounts. The company processed around \$1.79 trillion in total payment volume and generated about \$29.7 billion in transaction revenue.

Misperception

The main bear case is that PayPal is in structural decline. Investors are concerned about slowing growth in the company's core branded checkout business, tightening margins, and market share losses.

APPENDIX

Volume \$(mm)	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025A
Paypal US Branded TPV	66,458	74,542	84,306	95,366	109,931	147,881	178,015	185,931	196,139	205,946	218,303
US Econ Sales(US Census Bureau)	337,311	383,534	442,423	506,750	569,429	807,117	950,535	1,012,231	1,102,239	1,192,624	1,298,700
US Econ Retail Sales ex. AMZN	254,976	278,111	307,620	339,256	360,079	505,361	554,939	570,902	613,638	745,224	759,740
AMZN US Econ Sales	82,335	105,423	134,803	167,494	209,350	301,756	395,596	441,329	488,601	447,400	538,960

Yoy Growth %

US Econ Sales (US Census Bureau)	13.7%	15.4%	14.5%	12.4%	41.7%	17.8%	6.5%	8.9%	8.2%	8.9%
AMZN US Econ Sales	28.0%	27.9%	24.3%	25.0%	44.1%	31.1%	11.6%	10.7%	-8.4%	20.5%
US Econ Retail Sales ex. AMZN	9.1%	10.6%	10.3%	6.1%	40.3%	9.8%	2.9%	7.5%	21.4%	1.9%
PayPal US Branded TPV	12.2%	13.1%	13.1%	15.3%	34.5%	20.4%	4.4%	5.5%	5.0%	6.0%

% of sales

AMZN % of US Econ	24.41%	27.49%	30.47%	33.05%	36.76%	37.39%	41.62%	43.60%	44.33%	37.51%	41.50%
Paypal % of US Econ	19.70%	19.44%	19.06%	18.82%	19.31%	18.32%	18.73%	18.37%	17.79%	17.27%	16.81%
Paypal % of US Econ ex Amzn	26.06%	26.80%	27.41%	28.11%	30.53%	29.26%	32.08%	32.57%	31.96%	27.64%	28.73%

However, PayPal's market position has remained relatively stable over time. Excluding Amazon, PayPal's market share increased from about 26% in 2015 to 28.7% by the end of 2025. This suggests that PayPal has continued to defend its position despite heavy competition

Business Model

PayPal makes money by taking a small fee as a percentage of the total payment volume processed on its platform. The company also generates revenue from currency conversion, instant transfers from PayPal or Venmo accounts to bank accounts or debit cards, merchant fees, and consumer credit products.

In addition, PayPal earns revenue through partnerships, referral fees, subscription fees, gateway services, and interest earned on certain assets tied to customer balances.

The key drivers of PayPal's business are total payment volume, payment transactions, active accounts, and take rate.

New CEO Turnaround Plan

Enrique Lores took over as CEO in March 2026, succeeding Alex Chriss. Before joining PayPal, he served as President and CEO of HP Inc. Lores is well respected and accomplished, having successfully defended HP against Xerox's hostile takeover attempt and navigated the company through the global pandemic and supply chain disruptions.

Lores is known for cost discipline and operational efficiency. His turnaround plan includes an aggressive \$1.5 billion gross cost-reduction strategy, reducing management layers, and cutting up to 20% of the workforce.

In Q1 2026, Lores also emphasized the need for PayPal to return to being a technology-focused company with stronger execution. He stated that PayPal had placed too much focus on the merchant side of the network and now needs to increase its focus on the consumer side of the business.

His plan includes strengthening PayPal's branded checkout, expanding BNPL offerings, improving Venmo monetization, growing consumer financial services, and investing in AI for agentic shopping.

Lores also hired two new executives to help lead the transformation. Antonio Lucio, who previously worked with Lores at HP and also served as CMO at Visa and Meta, was brought in as Chief Marketing and Corporate Affairs Officer. His role is to guide PayPal's global brand transformation and simplify the company's marketing.

PayPal also hired Anshu Bhardwaj as Chief AI Transformation and Simplification Officer. Her role is to oversee AI-driven cost reduction and operational redesign across the company.

PayPal is also working to modernize its technology platform by combining its multiple brands into one unified identity experience. AI is helping the company rebuild old merchant pages from C++ into modern code, reducing work that previously took weeks into as little as one day.

Valuation

For valuation, I built two scenario analyses using consensus EPS, revenue, and operating profit estimates from FactSet for 2026, 2027, and 2028.

In the downside/base scenario, I applied PayPal's current P/E multiple of 8.0x. In the upside scenario, I applied a 15.0x P/E multiple, which I view as a reasonable baseline for a mature, steady-growth company and close to PayPal's three-year historical average P/E of approximately 15.4x.

Based on this analysis, I arrived at a price target of around \$79 per share. Compared to PayPal's current share price of \$42.68 as of June 3, 2026, this implies meaningful upside if the company can stabilize growth and improve execution.

Scenario Analysis			
	<u>2026</u>	<u>2027</u>	<u>2028</u>
Revenue	34372	35787	37396
Yoy Growth		4.12%	4.50%
Operating Profit	5920	5937	5974
Margin	17%	17%	16%
Bps YoY			
EPS	\$ 5.31	\$ 5.76	\$6.23
P/EPS	15.00x	15.00x	15.00x
Share Price	\$79.65	\$86.40	\$93.45

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EPS	\$ 5.31	\$ 5.76	\$6.23
P/EPS	08.00x	08.00x	08.00x
Share Price	\$42.48	\$46.08	\$49.84

Thesis

My thesis is that PayPal is an undervalued, high-quality payments company with strong free cash flow, a solid balance sheet, and a dominant two-sided network. The market is currently pricing the business as if it is in permanent decline, but I believe the company still has a strong competitive position and meaningful opportunities for margin improvement.

If management successfully executes its cost-cutting plan, improves AI-driven efficiency, and stabilizes branded checkout, I believe the stock has significant upside from current levels.

Risks

PayPal operates in a highly competitive payments industry. Visa and Mastercard compete through their global card networks, while Block, Fiserv, Global Payments, Shopify, Western Union, and Payoneer compete across merchant services, payment processing, money transfers, and digital commerce solutions. This creates pressure on PayPal's growth, pricing power, and take rate.

So far, PayPal has defended its moat through its two-sided network effect, high switching costs, strong brand, and customer trust. I also believe the overall payments market is large enough to allow multiple players to succeed.

Another key risk is management execution. Although Enrique Lores has a strong track record at HP, PayPal operates in a very different industry. Investors will need to see whether he can successfully translate his operational discipline into a payments and fintech business.

Take rate compression is also a major risk. If PayPal's take rate is squeezed too much, profitability could decline even if total payment volume continues to grow. FactSet estimates show that PayPal's take rate is expected to decline from 1.9% in 2025 to 1.7% in 2026.

Catalysts

Key catalysts include continued growth in transaction volume, improved monetization of Venmo, margin expansion from cost reductions, AI-driven efficiency improvements, and continued aggressive share repurchases.

Comps

Company	Ticker	Market Cap (\$B)	Price	Enterprise Value	2026 Forward P/E	2027 Forward P/E	2026 EV/Revenue	2026 EV/EBITDA	Rev Growth (%)	Operating Margin(%)	Net Margin (%)
PayPal Holdings(CONSENSIS)	PYPL	39,404	45	44,575	08.43x	07.73x	01.30x	06.59x	3.48%	19.70%	15.70%
VISA	V	629,740	331	628,560	25.23x	22.27x	13.81x	19.65x	14%	67.17%	49.63%
Mastercard	MA	445,810	495	447,010	25.20x	21.75x	12.06x	19.11x	13.04%	60.07%	45.58%
Block	XYZ	44,250	76	35,360	19.37x	15.17x	01.35x	07.81x	8.35%	13%	5.40%
Fiserv, Inc.	FI	29,770	57	58,700	06.96x	06.31x	02.93x	06.83x	1.22%	27.50%	15.80%
Global Payment Inc	GPN	20,230	76	37,940	05.45x	04.66x	03.05x	06.47x	33.59%	26.92%	16.42%
Shopify Inc.	SHOP	154,040	119	148,720	46.92x	36.76x	07.35x	40.21x	28.05%	16.36%	10.65%
Western Union Co.	WU	2,500	8	2,230	04.65x	04.26x	00.52x	02.27x	5.54%	19.41%	12.36%
Payonwwe Global Inc.	PANY	1,740	5	1,440	19.26x	15.29x	01.28x	04.95x	6.45%	12.81%	6.95%

High	46.92X	36.76X	13.81X	40.21X
Low	04.65X	04.26X	00.52X	02.27X
Median	19.26X	15.17X	2.93X	6.83X
Mean	17.94X	14.91X	4.85X	12.65X
Mean(excl. paypal)	19.13X	15.81X	5.29X	13.41X

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